

# INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02313

|                                |                                         |
|--------------------------------|-----------------------------------------|
| Report ID:                     | AR-02313                                |
| Audit Type:                    | Vendor Risk Audit                       |
| Report Date:                   | August 06, 2024                         |
| Audit Period:                  | 2024-01-16 to 2024-07-26                |
| Lead Auditor:                  | Brian Lee (EMP-52344)                   |
| Reviewed By:                   | David Mcguire (EMP-21316)               |
| Primary Vendor Reference:      | UltraVista Technologies Inc (VND-00855) |
| Subject Employee Reference:    | Troy Davis (EMP-45839)                  |
| Primary Transaction Reference: | TXN-624613                              |
| Overall Risk Rating:           | CRITICAL                                |

## 1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2024-01-16 to 2024-07-26 and examined transactions, approvals, and compliance records associated with vendor UltraVista Technologies Inc (VND-00855) and employee Troy Davis (EMP-45839). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **CRITICAL**.

## 2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-624613 (amount 228,264.60 INR) was selected as a key test item.

## 3. FINDINGS

| Finding ID | Severity | Category      | Description                                                                                                                               |
|------------|----------|---------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| FND-002157 | MEDIUM   | POLICY BREACH | Claim EXP-183515 violates Policy POL-0019 section 4.2: Marketing expenditure capped at \$100,000 per event.                               |
| FND-002076 | LOW      | VENDOR RISK   | High-risk vendor WaveCore Manufacturing Ltd has no compliance record on file. Payment of \$278,569 released without compliance clearance. |

| Finding ID | Severity | Category    | Description                                                                                                                      |
|------------|----------|-------------|----------------------------------------------------------------------------------------------------------------------------------|
| FND-003156 | CRITICAL | VENDOR RISK | High-risk vendor DawnTech Services has no compliance record on file. Payment of \$471,085 released without compliance clearance. |

4. EVIDENCE REFERENCES

| Evidence ID | Source Type       | Citation Reference | Alignment Score |
|-------------|-------------------|--------------------|-----------------|
| EVI-002390  | CONTRACT RECORD   | EVD-HFZ-8125       | 0.52            |
| EVI-002815  | CONTRACT RECORD   | EVD-GLR-5552       | 0.75            |
| EVI-002879  | HR RECORD         | EVD-ABY-3840       | 0.65            |
| EVI-004990  | COMPLIANCE RECORD | EVD-BCN-4743       | 0.65            |
| EVI-005057  | EXPENSE CLAIM     | EVD-QIN-9540       | 0.93            |
| EVI-009025  | DNS LOG           | EVD-DBX-2048       | 0.92            |

5. RECOMMENDATIONS

- Review and update vendor risk ratings following adverse compliance findings.
- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Require compliance certificate verification as a system gate prior to payment release.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

| Role              | Name          | Employee ID | Date       |
|-------------------|---------------|-------------|------------|
| Lead Auditor      | Brian Lee     | EMP-52344   | 2024-08-06 |
| Reviewing Officer | David Mcguire | EMP-21316   | 2024-08-08 |